PRESS RELEASE

Owner of Durable Medical Equipment Companies Agrees to Plead Guilty in Nearly $30 Million Fraud Scheme

Friday, May 23, 2025

For Immediate Release

U.S. Attorney's Office, District of Massachusetts

Defendant allegedly used proceeds to purchase two Ferraris, a Mercedes-Benz Model S, at least three Rolex watches

BOSTON – The owner of Pharmagears, LLC (Pharmagears) and RR Medco, LLC (RR Medco) has agreed to plead to guilty in connection with a nearly $30 million health care fraud conspiracy involving medically unnecessary durable medical equipment (DME), including orthotics such as back and knee braces.

Raju Sharma, 61, of Sharon, Mass., has agreed to plead guilty to one count of conspiracy to commit health care fraud. A plea hearing has not yet been scheduled by the Court. Per the plea agreement, the government will recommend a sentence of 10 years in prison and more than $15.8 million in restitution.

Sharma was arrested and charged by criminal complaint in February 2025 and subsequently released on conditions pending trial. He was later ordered detained in April 2025 after the Court found that he violated the conditions of his release by contacting a potential witness.

According to the charging documents, between February 2021 and February 2025, Sharma – on behalf of Pharmagears and RR Medco – entered into contracts with telemarketing companies that generated DME orders by targeting Medicare beneficiaries. It is alleged that Sharma then billed Medicare for this medically unnecessary DME, which the Medicare beneficiaries often did not want or could not use; and/or a medical practitioner ordered without having met or examined the beneficiary; or were ordered by the fraudulent use of practitioners' national provider identifiers without their knowledge or assent. It is further alleged that these DME orders were obtained in violation of the anti-kickback statute, because although Sharma agreed in the contracts to pay the marketing companies a flat fee for their services, Sharma in fact paid the marketing companies on a per-lead, or per-order, basis.

According to the charging documents, Sharma worked with multiple other co-conspirators, including family and acquaintances, to open and operate additional DME companies in the same fraudulent manner. In total, the companies owned, operated, or connected with Sharma billed Medicare approximately $29.6 million for these fraudulent DME orders and were paid approximately $15.8 million.

Sharma made substantial profits from this alleged fraud, which he used to purchase luxury goods, including two Ferraris, a Mercedes-Benz Model S and at least three Rolex watches. Pursuant to the plea agreement, the defendant has agreed to forfeit these luxury goods, as well as over $250,000 in cash investigators seized from his bank accounts.

The charge of conspiracy to commit health care fraud provides for a sentence of up to 10 years in prison, supervised release for up to three years and a fine of up to $250,000 or twice the gross gain or loss, whichever is greater. Sentences are imposed by a federal district court judge based upon the U.S. Sentencing Guidelines and statutes which govern the determination of a sentence in a criminal case.

United States Attorney Leah B. Foley; Roberto Coviello, Special Agent in Charge, Health and Human Services-Office of Inspector General; and Kimberly Milka, Acting Special Agent in Charge of the Federal Bureau of Investigation, Boston Division made the announcement today. Valuable assistance was provided by the United States Marshals Service and the Sharon Police Department. Assistant U.S. Attorneys Lauren Graber and Sarah Hoefle of the Criminal Division are prosecuting the case.

The details contained in the charging documents are allegations. The defendant is presumed innocent unless and until proven guilty beyond a reasonable doubt in a court of law.

Updated May 23, 2025

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HEALTHCARE FRAUD

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